PRIME MINISTER'S EMPLOYMENT GENERATION PROGRAMME (PMEGP)

SUPPLEMENTARY REFERENCE - Compiled from Official Government Portals (November 2026)

Ministry of Micro, Small and Medium Enterprises (MSME), Government of India (Implemented by KVIC) | Level: Central | Category: Employment & Self-Employment Subsidy

Official Portal: https://www.kviconline.gov.in/pmegpeportal

1. Overview & Scheme Scope

PMEGP is a flagship credit-linked subsidy programme aimed at generating self-employment opportunities through establishment of micro-enterprises in non-farm sectors. Beneficiaries receive bank finance with government margin money subsidy ranging from 15% to 35% of total project cost.

2. Financial Limits & Subsidy Slabs

- Maximum Project Cost: Rs 50 Lakh for Manufacturing sector; Rs 20 Lakh for Service / Business sector.
- Subsidy Rates (Margin Money):
* General Category: 15% in Urban areas (own contribution 10%), 25% in Rural areas (own contribution 10%).
* Special Categories (SC/ST/OBC/Minorities/Women/Ex-servicemen/PH/NER/Hill/Border): 25% in Urban areas (own contribution 5%), 35% in Rural areas (own contribution 5%).
- Balance 60% to 75% of project cost is financed by bank as term loan and working capital.

3. Eligibility Criteria

- Any individual aged 18 years and above.
- Minimum Educational Qualification: At least Class 8th pass for projects above Rs 10 Lakh in manufacturing and above Rs 5 Lakh in service sector.
- Existing units or units already availing government subsidy under other central/state schemes are NOT eligible.
- Only new micro units are eligible under first loan phase.

4. Required Documents Checklist

1. Aadhaar Card and PAN Card.
2. Detailed Project Report (DPR) detailing capital expenditure and working capital requirements.
3. Educational qualification certificate / marksheet (8th standard or higher).
4. Special category certificate (Caste certificate, disability certificate, ex-servicemen certificate) if claiming 25-35% subsidy.
5. Rural area certificate issued by Gram Panchayat / Revenue Officer (for rural subsidy rate).
6. EDP Training completion certificate (mandatory before loan disbursement, provided free by KVIC).

5. Step-by-Step Online Application Procedure

Step 1: Visit the KVIC PMEGP e-Portal at https://www.kviconline.gov.in/pmegpeportal.
Step 2: Click 'Apply for New Unit (Individual)' and enter 12-digit Aadhaar number.
Step 3: Fill personal details, sponsoring agency (KVIC/KVIB/DIC), financing bank branch, and project cost.
Step 4: Upload DPR, caste certificate, education proof, and submit.
Step 5: District Level Task Force Committee (DLTFC) scrutinizes and forwards application to financing bank.
Step 6: Bank sanctions loan and claims Margin Money subsidy from KVIC which is kept in 3-year term deposit lock-in.